

formation height from the highest peak to the lowest low in the pattern and divide by the breakout price (the highest high). Compare the result to the median. Values above the median mean you have a tall pattern.

Width. Notice that the two values for width are mirrors of the ones for height. Interesting. A statistical anomaly, to be sure. Wide patterns perform better than narrow ones. I used the median width as the separator between narrow and wide.

Table 27.5 Size Statistics

Description	Bull Market
Tall pattern performance	48%
Short pattern performance	38%
Median height as a percentage of breakout price	12.5%
Narrow pattern performance	38%
Wide pattern performance	48%
Median width	25 days
Short and narrow performance	35%
Short and wide performance	48%
Tall and wide performance	48%
Tall and narrow performance	47%

Height and width combinations. As expected, patterns that are both tall and wide outperformed the other combinations, but not by much, except for short and narrow patterns. Patterns both short and narrow are the ones you'll want to avoid.

Table 27.6 shows volume-related statistics.

Volume trend. The volume trend from the first bottom to the second is downward most of the time. Does it make a difference? Yes.

Rising/Falling volume. Patterns that show volume receding have a three percentage point performance advantage. That may not sound like much, but every little bit helps. Just remember your results may vary.